around Rs 1.88 lakh crore as of March 2022. There were also fears that the public sector Life Insurance Corporation (LIC) had big exposure to Adani firms. On January 30, LIC said its holding under equity and debt in the Adani Group was Rs 35,917 crore and assured the public that the credit rating of all Adani debt securities it held was in compliance with Irdai (Insurance Regulatory and Development Authority of India) regulations.

Hindenburg also pointed to the noticeably high turnover in the position of the chief financial officer (CFO) in Adani Enterprises—five CFOs over eight years—saying it indicated potential accounting issues. Moreover, it alleged that Shah Dhandharia, the independent auditor for Adani Enterprises and Adani Total Gas, seemed incapable of complex audit work. Adani has rubbished the claim, saying Shah Dhandharia has an experience of over 20 years. It also said Adani Enterprises is an incubator for new businesses, with over 35 statutory audit firms auditing various entities within the company.

Yet another allegation was that Gautam Adani's younger brother, Rajesh Adani, was accused by the Directorate of Revenue Intelligence (DRI) of playing a central role in a diamond trading import/export scheme around 2004-2005, and that his brother-in-law, Samir Vora, was accused by the DRI of being a ringleader of a diamond trading scam. To these, the Adani Group said an appellate tribunal had set aside all the DRI allegations and confirmed all the transactions were valid and genuine, and the Supreme Court had upheld the tribunal order.

Experts believe the Adani Group will tide over the Hindenburg saga, but some scars could remain. "For one, lenders will be far more defensive, subsequent IPOs (initial public offerings) will be more thoroughly scrutinised by investors, and fund-raising for acquisitions will become tougher," says a financial consultant. "The point-by-point explanation from the Adani Group could not have come faster, and has helped allay some fears in the market." The coming days and weeks will demonstrate how the group weathers the storm and strives to bounce back to its earlier glory. In any case, the saga will leave many lessons for Indian business houses to ponder over in maintaining high levels of corporate and accounting standards in a globalised world. ■



MANEESH AGNIHOTRI

MAULANA WHO?
Mulayam Singh Yadav

MULAYAM SINGH YADAV

BJP'S PADMA POLITICS

By Prashant Srivastava

If politics is the art of the possible, the supreme artist may well be the BJP. The ruling party at the Centre has brought Samajwadi Party founder Mulayam Singh Yadav back to the centrestage, via a political googly, just four months after his death. It has decided to honour Mulayam, known as a trenchant critic of Hindutva, with the Padma Vibhushan, India's second-highest civilian award. A surprise move, to be sure, but the logic is impeccable: the BJP has obviously detonated its Padma bombshell with one eye on the OBC vote bank.

In the late 1980s, when the BJP started the Ayodhya campaign that would eventually power it to the dominant position it occupies now in the state, the one leader who stood in its way as a stubborn secular was Mulayam. So